American Postal Workers Union, AFL-CIO

Mark Dimondstein, President

MOTOR VEHICLE SERVICE DIVISION



MOTOR VEHICLE SERVICE DIVISION

Michael O. Foster

Motor Vehicle Director



Kenny Prinz

Assistant Motor Vehicle Director



MOTOR VEHICLE SERVICE NBA's



William Wright
Central Region



Dryike Shaw
Southwest
Sub-Region



Joseph La Capria
Northeast Region



Garrett Langley
Eastern Region



Bruce Amey
Southeast
Sub-Region



Jerome A. Pittman
Western Region

MOTOR VEHICLE SERVICE DIVISION

Article 32
VMF Sub-Contracting



Presented by:

Motor Vehicle Craft

National Business Agents

Garrett Langley and Jerome Pittman

TIME LIMITS

Once a violation is discovered, we have specific time limits to file a grievance. Please note the Union is the moving party in all grievances, so even when the service fails to follow any of the time limits, it is still the Union's obligation, to move the grievance to the next step of the grievance procedure within the time limits set forth in Article 15 of the CBA.

14 Day Time Limit

The Union has **fourteen (14) days** from the time the Grievant and or the Union becomes aware of a contract violation, to file a timely Step 1 appeal.

VMF Subcontracting

- Sub-Contracting
- The Burden of Proof
- **The Union's investigation should establish with evidence that the service decision to subcontract did not comply with the requirements and process required by Article 32.**

ARTICLE 32 SUBCONTRACTING

32.1.A

The employer will give due consideration to public interest, cost, efficiency, availability of equipment and qualification of employees **when evaluating** the need to subcontract.

What is Due Consideration

- To give careful thought or give the matter all the thought it deserves before deciding to subcontract the work.

WHAT IS DUE CONSIDERATION

"It is agreed in Paragraph A that, in determining which of these alternatives to follow, it would give "due consideration to public interest, cost, efficiency, availability of equipment, and qualification of employees"".

WHAT IS DUE CONSIDERATION

Arbitrator Richard Mittenthal, Case No. A8—NA-0481, Pg 6

"Unfortunately, the words due consideration are not defined in the national agreement. Their significance however seems clear.

They mean that the Postal Service must take into account the 5 factors mentioned in the paragraph in determining whether or not to contract out surface transportation work. To ignore these factors or to examine them in a cursory fashion in making its decision would be improper"

Section 32.1.A
The Five Factors

The Employer will give due consideration to:

- Public interest
- Cost
- Efficiency
- Availability of equipment
- Qualification of employees when evaluating the need to sub-contract.

To consider other factors, not found in Paragraph A, would be equally improper.

MOU:
Contracting or Insourcing of Contracted Service

JCIM Article 32

"It is understood that if the service can be performed at a cost equal to or less than that of contract service, when a fair comparison is made of all reasonable costs, the work will be performed in-house."

Section 32. 1. B

The Employer will give advance notification to the Union at the national level when subcontracting which will have a **significant impact** on bargaining unit work is being considered, and will meet with the Union while developing the initial Comparative Analysis report.

Columbus Decision

San Francisco Decision

Section 32. 1. B

Columbus Decision

For the reasons set forth above, I find that the mode conversion in Columbus did not rise to the level of having a significant impact on bargaining unit work. Therefore the requirements of Article 32.1.B were not triggered. The Postal Service properly assessed that the mode conversion in Columbus would not have a significant impact, and that the provisions in Article 32.2 applied.

Section 32. 1. B

San Francisco Decision

…Regarding the Section 32.1.B. requirement that the Service give advance notification to the Union at the national level when contemplating entering into a subcontract that would have a significant impact on bargaining unit work…

Section 32. 1. B

San Francisco Decision

Having considered all the evidence presented by the parties, this Arbitrator finds as follows: with regard to the alleged violation of Article 32.1.A, the Arbitrator finds that the Union has met its burden of proving by the preponderance of the evidence that Management failed to meet the contractual requirement to give due consideration to the required factors.

With regard to the alleged violation of Article 32.1.B, the Arbitrator finds that the Union has met its burden of proving by the preponderance of the evidence that Management failed to meet its contractual obligation of giving advance notification to the Union at the national level when subcontracting with Atlas, given the constraints of 32.1.B. For these reasons, the grievance is SUSTAINED.

32.1.B

The employer will consider the Union's views on costs and other factors, together with proposals to avoid subcontracting and proposals to minimize the impact of subcontracting; a statement of the Union's views and proposals will be included in the initial Comparative Cost Analysis and in any Decision Analysis Report relating to the subcontracting under consideration.

No final decision on whether or not such work will be contracted out will be made until the matter is discussed with the Union.

Q06C-4Q-C 08228294

On June 4, 2008, the APWU initiated a Step 4 dispute, subsequently appealed to arbitration, relating to the Postal Service's obligation, pursuant to Article 32, Section 1.C of the 2006 National Agreement, to furnish the Union at the local level notification of subcontracting of bargaining unit work at local installations.

The case was heard in Washington DC on August 1-2 2012, and the arbitrator sustained the grievance.

Field level notification

- Accordingly, the Union's position in this case that Article 32.1.C requires notification to the local union of decisions to subcontract bargaining unit work at local installations made at the local, as well as district or area, level is sustained.

Section 32. 1. C

When a decision has been made at the **Field level** to subcontract bargaining unit work, the Union at the **Local level** will be given notification

Mr. Michael O. Foster
Director, Motor Vehicle Service Division
American Postal Workers Union, AFL-CIO
1300 L Street, NW
Washington, DC 20005-4128

Re: Q00V-4Q-C 06000460/HQTV20058
Class Action
Washington DC 20260-4100

Dear Mike:

The parties met for pre-arbitration discussions on the above referenced grievance. The dispute was initiated at Step 4 by the American Postal Workers Union, AFL-CIO.

The issue presented by the APWU is, did the Postal Service's entering into a National Vehicle Shuttling Agreement with the United States Auto Club, contract No. IDVPLE-05-Q-1416 Modification No. 00001, violate Article 32.1.B of the Collective Bargaining Agreement?

The parties agree to resolve the dispute in accordance with the following:

The Postal Service has demonstrated that the National Shuttling Agreement with the United States Auto Club was not a national contract, but an agreement that allowed the local VMFs the option to participate in the initiative.

When applicable and when a decision has been made at the Field level to subcontract bargaining unit work, the Union at the local level will be given notification in accordance with Article 32.1.C. Article 32.1.C does not require notification before a decision to subcontract is made, and where work is subcontracted pursuant to a master agreement the local union need only be notified when the master agreement is entered into, and not when each service is to be performed thereunder. The local union Article 32.1.C notice is required prior to the beginning of the work being subcontracted.

In the instant case, in the event local VMF management has not provided the required Article 32.1.C advance notification to the local Union prior to the subcontracting, the notice will be provided within 30 days of the signing of this agreement.

If the Postal Service enters into any national contracts relating to VMF services, the Union will be notified pursuant to provisions contained in Article 32 of the Collective Bargaining Agreement.

Accordingly, the parties agree that any case held pending the National dispute will be referred to the step at which it was held for application of this settlement agreement and in accordance with Article 15 of the National Agreement.

Rickey R. Dean
Manager
Contract Administration (APWU)
United States Postal Service

Date 10/14/2020

Michael O. Foster
Director, Motor Vehicle Service
American Postal Workers,
Union, AFL-CIO

Date 10/14/2020

MASTER AGREEMENTS

- Master Agreements are Vehicle Maintenance Agreements (VMA) that are usually enforced for 2 years and can be renewed and remain in effect for 10 years.

- The local union must be notified when a master agreement is entered into, but does not have to be notified when each service is to be performed as long as the services are performed pursuant to the contract of which the local union has been notified.

ORDER / SOLICITATION / OFFER / AWARD

OFFEROR TO COMPLETE BLOCKS 13, 14, 16, 22, 23 and 26

1. REQUISITION NO. | PAGE 1 OF 3

CONTRACT/AWARD NO.: CLOSV-18-D-0004
3. AWARD/EFFECTIVE DATE: 10/25/2017
4. MASTER/EMERGENCY CONTRACT NO.
5. SOLICITATION NO.: 18-A-0028
6. SOLICITATION ISSUE DATE: 09/20/2017

For Solicitation Information Call: a. NAME: ELIZABETH A. MCLELLAN | b. TELEPHONE NO. | c. FAX NO. | d. OFFER DUE DATE/ LOCAL TIME

ISSUED BY: CODE EGLOSV
Logistics Services
Transportation Services CMC
United States Postal Service
75 L'Enfant Plaza SW, Room 1P650
Washington DC 20260-6201

MAIL: Elizabeth.A.McLellan@usps.gov

10. ACQUISITION CODE: SCLOSV
11. SOLICITATION METHOD: RFQ / IFB / RFP / OTHER
12. DELIVERY FOR FOB DESTINATION UNLESS BLOCK IS CHECKED: ☐ SEE SCHEDULE
13. DISCOUNT TERMS: See Schedule

CONTRACTOR: CODE 000162358
MATHESON FLIGHT MAINTENANCE INC
Attn: Patricia A. Wagner
785 Castle Rd
Sacramento CA 95827-3559
USA

a. 916-504-4720 FAX:
MAIL: pkwagner@mathesonfac.com

15. PAYEE'S ADDRESS
IND NETWORKS
USPS
1745 STOUT ST STE 800
DENVER CO 80299-6500

9. REMITTANCE ADDRESS: CODE 3KIZARY
MATHESON FLIGHT MAINTENANCE INC
Attn: Patricia A. Wagner
3780 Cavitt Rd
Sacramento CA 95827-3559
USA

TEL 916-504-4720 FAX:
EMAIL: pkwagner@mathesonfac.com

17. DELIVERY ADDRESS
KANSAS CITY KDC
USPS
4901 SPEAKER RD
KANSAS CITY KS 66106-9998

TELEPHONE NO.
18. INVOICE/PAYMENT DATE: 11/01/2017

☐ CHECK ☒ CT

16. ITEM NO.	19. SCHEDULE OF SUPPLIES/SERVICES	20. QUANTITY	21. UNIT	22. UNIT PRICE	23. AMOUNT
	SUPPLIER: Matheson Flight Extenders (MFE) CONTRACT LOCATION(S): Kansas City, MO (MCI), Phoenix, AZ (PHX), & Reno, NV (RNO) CONTRACT TYPE: PEAK Season Services PURPOSE: Award BYLE PEAK Season Contract for Services 1. Contract Award: This new Indefinite Delivery Indefinite Quantity (IDIQ) contract, SCLOSV-18-D-0004 is being awarded for PEAK Season Services in Kansas City, MO, Phoenix, AZ, and Reno, NV. Delivery order(s) Continued ...				

RECEIVED BY THE APWU
JAN 24 2018
PHOENIX P&DC

TOTAL AWARD AMOUNT (USPS Use Only): $0.00

27a. ☒ The supplier is required to sign this document and return ... copies to the issuing office. The supplier agrees, subject to the terms and conditions specified herein, to provide and deliver the items identified above and on any additional sheets.

27b. SIGNATURE OF SUPPLIER

27c. PRINTED NAME AND TITLE OF SUPPLIER | 27d. DATE SIGNED

28. ☐ Award of Contract: Your offer on Solicitation (Block 5) is accepted as to items

29a. UNITED STATES POSTAL SERVICE (SIGNATURE OF CONTRACTING OFFICER)

29b. PRINTED NAME OF CONTRACTING OFFICER: Nicholas Priolo | 29c. DATE SIGNED

SPS Form 3533 (March 2007) Data Internal Use Only — Non-Accounts Payable Use Only

ORDER / SOLICITATION / OFFER / AWARD

OFFEROR TO COMPLETE BLOCKS 12, 14, 16, 22, 23 and 25

1. REQUISITION/PURCHASE REQ. NO.	PAGE OF
	1 3

2. SOLICITATION NO.	3. AWARD/EFFECTIVE DATE	4. ORDER NUMBER	5. SOLICITATION NUMBER	6. SOLICITATION ISSUE DATE
5C1J08V-18-C-0002	11/01/2017	5C1J09-10-B-0004		

7. FOR SOLICITATION INFORMATION CALL:	a. NAME	b. TELEPHONE NO.	c. FAX NO.	9. OFFER DUE DATE/LOCAL TIME
	ELIZABETH A. MCLELLAN			

8. ISSUED BY	CODE	5C1J08V	10. THIS ACQUISITION IS	11. DELIVERY FOR FOB DESTINATION UNLESS BLOCK IS MARKED	12. DISCOUNT TERMS
Logistics Services Transportation Services UNC United States Postal Service 475 L'Enfant Plaza SW, Room 10650 Washington DC 20260-6201 EMAIL: Elizabeth.A.McLellan@usps.gov		5C1J08V	☐ RFQ ☐ ITB ☐ RFP ☐ OTHER	☐ SEE SCHEDULE	See Schedule

13a. THIS CONTRACT IS A RATED ORDER UNDER DPAS (15 CFR 700)	13b. RATING
☐	

14. METHOD OF SOLICITATION			
RFQ	IFB	RFP	OTHER

15. DELIVER TO	CODE	00082	16. ADMINISTERED BY	CODE	S0002
MATHESON FLIGHT EXTENDERS INC Attn: Julie Taylor-Perdun 9705 GOETHE RD SACRAMENTO CA 958273559 TEL: 916-515-4702 FAX: EMAIL: jperdun@mathesoninc.com			USPS-NETWORKS DSDS 1745 STOUT ST STE 800 DENVER CO 80299-6800 TELEPHONE NO. 602-412-6016 DELIVER BY/END DATE: 11/01/2017		

17a. CONTRACTOR/OFFEROR	CODE	00082	18a. PAYMENT WILL BE MADE BY	CODE	S0002
MATHESON FLIGHT EXTENDERS INC Attn: Julie Taylor-Perdun 9705 GOETHE RD SACRAMENTO CA 958273559 TEL: 916-515-4702 FAX: EMAIL: jperdun@mathesoninc.com			USPS-NETWORKS DSDS/ASAFT 6201 N 47TH AVE PHOENIX AZ 85043-2814		

☐ CHECK IF REMITTANCE IS DIFFERENT AND PUT SUCH ADDRESS IN OFFER

19. ITEM NO.	20. SCHEDULE OF SUPPLIES/SERVICES	21. QUANTITY	22. UNIT	23. UNIT PRICE	24. AMOUNT
	This is Matheson Flight Extenders' (MFE) notice to proceed to provide services for PEAK Season Operations in accordance with the master Indefinite Delivery Indefinite Quantity (IDIQ) contract 5C1J08V-18-B-0004 for the Phoenix, AZ location. This delivery order is a Firm Fixed Price (FFP) by unit with a line for time and materials. The applicable contract attachments (issued with the Master Contract) are hereby incorporated into this delivery order. Continued ...				

25. TOTAL AWARD AMOUNT: (For Govt. Use Only) $1,816,369.59

☒ 26. The Supplier is required to sign this document and return copies to the issuing office. The supplier agrees to furnish and deliver all items set forth or otherwise identified above and on any continuation sheets for the consideration stated herein. The rights and obligations of the parties to this contract shall be subject to and governed by the following documents: (a) this Solicitation/Contract/Order, (b) the clauses, representations, certifications, and specifications incorporated by reference in or attached to this Solicitation/Contract/Order, and (c) such provisions, representations, certifications, and specifications, as are attached or incorporated by reference herein. (Attachments are listed herein.)

☐ 27. Award (Contractor is not required to sign this document.) Your offer on Solicitation (Block 5), including any additions or changes which are set forth herein, is accepted as to items:

28a. SIGNATURE OF SUPPLIER	29a. UNITED STATES POSTAL SERVICE (SIGNATURE OF CONTRACTING OFFICER)

28b. PRINTED NAME AND TITLE OF SIGNER	28c. DATE SIGNED	29b. PRINTED NAME OF CONTRACTING OFFICER	29c. DATE SIGNED
Charles J. Mello, COO	11/1/17	Nicholas Kalogeropoulos	11/1/17

PS Form 7331 (March 2001)

Documents Needed to Grieve a VMA

- Start by requesting a copy of all VMAs, BPAs, and any contracting agreements or arrangements made with local repair shops for vehicle maintenance.
- Cost of the contract
- Duration of the contract
- Type of service to be provided
- Contractors Labor rate per hour or per service; for example a flat rate for an A inspection
- Number of vehicles to be serviced
- Types of vehicles to be serviced

THE FIVE FACTORS

PUBLIC INTEREST

USPS claims of Public Interest, management must show how public interest will be affected if subcontracting were to occur.

- Request a copy of the Scheduled Maintenance report. (SEAM Report NAVEA017)
- Was the PMI schedule modified, if so? For what purpose or reason.
- The amount of vehicles serviced by the VMF and or the District.

Public Interest

- Mgmt. contends under Public Interest there is a concern for the **safety** of the public and employees due to vehicles being in arrears.
- What is the specific operational reason for the vehicles falling in arrears for scheduled preventive maintenance.
- Request documentation regarding actual “safety” issues and or incidents involving vehicles in arrears.

Public Interest & Safety

Arbitrator Andrew Strongin

Case H06V-1H-C08363098

"The foregoing discussion seems perfectly consistent with the Services ultimate position that cost was not of overriding or even significant concern, and that the cost factor paled in comparison to the Services focus on ensuring the safety and timely maintenance and repair of its aging fleet, which concerns fall comfortably within the confines of the Article 32.1.A factors of public interest and efficiency."

"The Services concern for the safety of its employees and the driving public is laudable, but that concern, **without more**, does not demonstrate compliance with the due consideration requirements of Article 32.I.A.

The difficulty for the Service in this case is that it is not enough to articulate **general concerns** over public safety and the timeliness of repairs."

Subcontracting Cost

Arbitrator Stephen Goldberg National Case Q10V-4Q-C12324573

- **Discusses the Contracting and**
- **Insourcing MOU at pg.24.**

- "To be sure the Contracting Out MOU is not clear on when the cost comparison is to be made, but what is clear from both the bargaining history and the text of the Contracting MOU is that if all other Article 32.1 or 32.2 factors are ***equal***, and it is less costly to keep work in house, the Postal Service must do so."

- "Hence the Postal Service can no longer justify contracting out work that would be less expensive to keep in house on the grounds that it has given due consideration to cost as well as the other Article 32.1 or 32.2 factors."

Stephen Goldberg 32.1.B

Nation Case

Q10V-4Q-C12324573

"Conversely, I reject the argument which I understand the Postal Service to be making, that the Contracting MOU leaves untouched the decisions of Arbitrators Snow and Mittenthal cited In note 7 to the extent those decisions held that the sole contractual obligation of the Postal Service, when deciding whether or not to contract out highway transport work, is to give due consideration to the five factors set out in Articles 32.1."

MOU:
Contracting or Insourcing of Contracted Service

JCIM Article 32

- …if the service can be performed at a cost equal to or less than that of contact service, when a *fair comparison is made of all reasonable cost*, the work will be performed in-house pg. 369 2010 CBA.
- JCIM Article 32 Q&A on cost comparisons.

Subcontracting costs

We will discuss how we can prove it is cheaper to perform work in-house than contract labor

How do we figure the costs for VMF employees? The rate for career Mechanics is 44.34 an hour from the National Payroll Summary Report.

Overhead cost -Arbitrator Robert Tim Brown

Case C10-V4C-C12116076, (pg. 8-9)

Inclusion of overhead cost

- “The underlying decision in this case made clear that it was inappropriate to include facility overhead cost in a labor cost calculation to be used in weighing the relative cost of doing repairs in house on the one hand, and through the utilization of contractors.

- The service has returned to this argument once more but has not done so by providing new arguments for the inclusion of such overhead. Its argument in support of that proposition remains invalid,…”

Labor Rate
Contractor vs VMF

- How do you do a comparison when the contractor performs a flat rate fee? Such as an engine/ frame/transmission R&R.
- Determine the hours used to perform the same vehicle repair and make a dollar for dollar comparison.
- Example: if a contractor charges $330.00 flat rate to remove and replace a transmission, look at the ERT it takes for the work to be done in-house.

- For this example we will use a VMF mechanic making $44.34 per hour.
- Lets say it takes 3.2 hours.
- 3.2 hours times $44.34 is $144.88 verses $330.00.
- The difference shows that it is $185.12. cheaper if performed in-house.
- The numbers usually get more dramatic when the job and hours increase. But do not forget to make the balance between efficiency and time.

Additional Cost Related To Vehicle Repair

- If the vehicle had to be towed to and from the contractor it usually adds to repair time and cost, such as tow or shuttle.

Items And Prices

Vehicle Item No.	Make, Model	Minimum Charge*	Cost Per Mile Over Minimum**
1	Grumman LLV	$60.00	$5.00 per mile
2	Ford Windstar	$60.00	$5.00 per mile
3	FFV	$60.00	$5.00 per mile
4	2 Ton	$95.00	$5.50 per mile
5	9 Ton	$165.00	$6.50 per mile
6	Mack Tractor	$165.00	$6.50 per mile
7	Freightliner Tractor	$165.00	$6.50 per mile

***charge up to 5 miles**

**** charge after 5 miles**

- There are many ways to determine the contractor costs. The best way is the actual contract. However, the best litmus is the actual invoice the contractor submitted for payment for work performed.

What Do You Look For?

- Contractor Billing and Invoices.
- Invoices, voyager or method of payment, Vehicle Maintenance Agreement, (VMA), BPA, VRMA, or contract.
- Also request the contractor rate of pay and qualifications.
- Tow/shuttle logs, towing Invoice, and Logs

Efficiency

- The USPS claims the scheduled services are behind and its more efficient to use a contractor to complete the work.
- How many vehicles are in arrears?
- Has the compliment of vehicles increased?
- Has compliment of VMF mechanics reduced and positions remain unfilled.
- Can the work be performed on overtime?

- How many on Military leave
- How many on Vacations
- Does the VMF have to correct the contractors work.
- Cost in dollars report from SEAM (shows the cost in dollars of work performed by Mechanics vs Contractors) to determine the percentage of work performed by contractors.

Staffing of employees and assignment of vehicles are directly related VMF subcontracting violations

- The staffing of vehicles when the grievance is filed is important, as well as, the historic compliment of vehicles. In many instances the local Union knows. Compliment of mechanics. This is usually harder to track and document the history. A good measure is the seniority list as well as recent bids (including the yearly rebid)
- Web coins is more accurate and will also tell you which ones are vacant, residual, and held pending Article 12.

Availability of Equipment

- Does the VMF have the equipment to perform the contracted repairs?
- Can the equipment needed to perform the repairs be purchased or obtained by the VMF?

Qualifications of employees

- Do the employees in the VMF have the qualifications to perform the work being considered for subcontracting.
- What are the qualifications of the Contractors employees.
- Are the Contract employee qualifications described by management actually needed to perform the repairs.

Article 32.1.C Notification

- Article 32.1.C, requires local Union notification of field level decisions to subcontract bargaining unit work.
- When the Union is not notified as referenced, Article 32 is violated, as referenced herein.
- Notice should occur every time a contract is created or renewed because terms, prices, and the number of vehicles to be serviced may change.

AS – 707A Section 1.4.1

- AS-707A Chapter 1 Section 1.2 establishes that the Pub 41 is the procurement manual and the AS-707-A is a handbook.
- Section 1.3 establishes that VMA's (vehicle maintenance agreements) may be requested when vehicle maintenance is not available in-house and are subject to the restrictions in Section 1.4. Section 1.3.3

AS – 707A Section 1.4.1

- Section 1.4.1 establishes that VMA's should generally not be used by offices where vehicle maintenance is available in-house. However, when the vehicle maintenance Facility (VMF) cannot meet its requirements, such an office may submit a VMA that justifies the need for supplemental services.

Article 39.3.K

- Vehicle Maintenance Agreements (VMAs) or their successors should generally not be used by offices where vehicle maintenance is available in-house. However, when the Vehicle Maintenance Facility (VMF) cannot meet its requirements, such an office may submit a VMA or VMA successor request that justifies the need for supplementary services. VMAs or their successors should not be used to acquire inventory items for a VMF.

Handbook AS-707 A
Vehicle Maintenance Agreements (VMAs)

- VMAs, VRMAs, BPAs are agreements which are entered into by the Postal Service and a supplier of vehicle maintenance services. It sets forth the terms and conditions upon which a binding contract may be entered into at a later date, through placement and acceptance of an order.

- Postal Service installation heads who do not have vehicle maintenance available in-house may request VMAs in accordance with these procedures.

AS-703

- Section 910 defines VMA's and Form 7381. *(Form 7381 – Requisition for Supplies, Services or Equipment)*
- Important note here! This usually includes the contract terms, conditions and repair rates.
- Page 69, Section 921.3 of the AS-703 requires an approval of a 7381 and VMA.

AS-703

- **Section 921.3 Approvals**

- The installation head must approve all requests for VMA's. Your division may require additional approvals.
- Funds available must be approved on Form 7381.

Administrative Support Manual

112.31 Documentation

All delegations of authority must be officially documented.

Subcontracting Scenario

- APWU VMF Steward was informed that the USPS intended to renew a contracts for shuttling, towing, engine/transmission R&R, bodywork, scheduled and unscheduled service and other VMF maintenance duties as needed.
- The USPS states that VMF services are backed up and VMF craft overtime is out of control and by contracting out overtime would be eliminated or greatly diminished.

- It is more cost effective for a contractor to perform this work at a flat rate, rather than employees on overtime that make 44.34 an hour on straight time and the O/T rate is over $64.00 an hour.

- The USPS claims that the craft is not complying with recommended ERT's and mechanics are needed to repair not shuttle vehicles. No full time regular VMF assignments will be lost or affected.

Union Contentions

- The USPS decision to contract out work historically performed in-house has not corrected the current situation in the VMF. The contracting out of VMF work has actually created the backlog of services.

- Subcontracting compromises the safety and integrity of the postal vehicles being maintained. Many of the vehicles contracted must be recalled to be properly repaired in-house. Our LDC 32 mechanics are instructed to charge time and parts to other vehicles in the VMF budget to hide the true cost of contractor repairs.

- The work performed by contractors does not meet postal standards, creates a safety hazard, and results in call backs.
- Many of the costs are hidden and parts are secured in- house. In many cases the vehicles are prepped in-house and/or shuttled to contractors and those costs are not reflected in the contractors costs. Those costs are reflected in the VMF budget and adversely impact productivity.
- This creates the illusion that the work being contracted out is cheaper and more productive than when performed in-house.

- The overtime rate COMPARISION of VMF employees is improper because the benefits of VMF employees is not a factor beyond the 40 hour work week. When the VMF hourly overtime rate is properly applied, the work performed in-house is actually cheaper than the straight time rate.

- The work orders show the time the contractor takes to perform the same work far exceeds the ERT's in-house. Clearly this work can be performed in-house more cost effectively and efficiently and will not compromise the safety of postal employees. All of the information requested has not been fully disclosed. The Union's investigation was impeded.

Remedy

- Make the craft whole in every way.
- Immediately cease and desist contracting VMF work.
- Immediately return the work contracted out to the craft.
- Fill the vacant positions, return the full time regular LDC 32 mechanic positions and increase the compliment of full time regular mechanics, to maintain the additional postal vehicles added to the fleet.
- Exclude all information not provided to the Union in the grievance process.

Sign-offs, Documents, Handbooks and Arbitrations related to subcontracting.

- Seams Handbook SEAM VMF Handbook rev 2
- Das National Award Article 32.1.C Field notification.
- Das National Award on 32.1.B Cable Installation
- National Goldberg Award 32.1.B Stephen Goldberg 32.1.B National Award, HCR Contracting California, Significant impact.
- 2007 POM Settlement POM 2007 Settlement
- 2012 POM Settlement POM 12-13-12 Settlement

Sign-offs, Documents, Handbooks and Arbitrations related to subcontracting.

- Article 32 JCIM Memo
- JCIM 32 Questions & Answers
- Arbitrator Christopher Miles Article 32 on Memo & continuing violation.
- Hourly rate for VMF Mechanics.
- Postal Support Employee (PSE) Hourly and Night Differential Rates.
- Towing invoice and logs.
- Contractor billing and invoice

Sign-offs, Documents, Handbooks and Arbitrations related to subcontracting.

- Motor Vehicle Craft Jobs MOU.
- VMF hiring 740 jobs 8-1-11.
- Hiring freeze 8-25-10 Dockins IR1038 Hiring and Conversion of PTF into FT Duty Assignments.
- Tool and Parts Step 4 2-5-13 Pre-Arbitration Settlement.
- 4543 ERT times.
- DAS ruling on ERT times.

Sign-offs, Documents, Handbooks and Arbitrations related to subcontracting.

- Tampa Contracting Award Latches.
- AS 707 A.
- National Payroll Hour Summary Report.
- Vehicle Maintenance Outsourcing Information needed.
- VMF Cost Comparison Worksheet.
- VMF Scheduled Maintenance Subcontracting Worksheet
- VMF Towing Subcontracting Worksheet.
- VMF Glass Subcontracting Worksheet.

Glossary of Terms

- Glossary of terms and forms you will need to know

- CO- Contracting officer
- VMF- Vehicle Maintenance Facility
- VMA- Vehicle Maintenance Agreement between service and contractor
- VMRA- Vehicle Maintenance Repair Agreement.
- BPA- Pricing agreement between the service and contractor
- 7381 is the written request for a VMA
- 4543 - vehicle work order

MOTOR VEHICLE SERVICE DIVISION

